

Cacao Beverage Opportunity

China Market & TCM Product Strategy

Presented to:

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Part 1: Market Opportunity

"Nobody in China is making cacao drinks yet." — Confirmed independently by Dr. Ye (TCM) and Liz's cousin (market insider).

China health tea market: **¥64.27 billion (2025)**, growing 25.3% YoY, projected >¥100 billion by 2028. Cacao husk tea as a category is **completely empty** in mainland China.

Part 2: Competitive Landscape

Direct Competitors (Cacao Husk Tea)

Brand	Price	Channel
Dedicated Chocolate (HK)	~HKD 68	Website, HK only
Rayca's Dancing Tea (HK)	HKD 12-168	Website, HK only
Hara Teas (Overseas)	~USD 10-15	Website only
Cacao Tea Co. (USA)	~USD 12-18	Website, cross-border
Conspiracy Chocolate	~USD 10	Website only

Key finding: None available on Taobao/Tmall/JD. All overseas/HK. Blue ocean.

Indirect Competitors (Health Tea Bags)

Brand	Price	Positioning
同仁堂 (Tongrentang)	¥30-80	Heritage TCM leader
忆江南 (Yijiangnan)	¥20-50	Mass-market health tea
草木方 (Caomufang)	¥25-60	New-style health tea
茶里 (CHALI)	¥30-80	New-style bagged tea
立顿 (Lipton)	¥20-40	International brand

Part 3: Product & Science

Cacao Shell Tea vs Green Tea

Metric	Cacao Tea	Green Tea
Antioxidants	Higher	Lower
Theobromine	High	Negligible
Caffeine	Low	Medium
Heart health	Stronger	Protective
Sugar/Fat	Zero	Zero

TCM Classification

Property	Value
Nature (性)	Warming (温)
Taste (味)	Bitter, Pungent (苦、微辛)
Meridians (归经)	Heart, Liver, Kidney (心、肝、肾)
Actions	Tonify Heart, Warm Kidney, Calm Shen

Part 4: Operating P&L Model

4.1 Product Specification — 小罐茶 (Xiaoguancha) Style

Item	Specification
Serving size	4g per can (小罐茶 standard)
Box size	10 cans = 40g per box
Units per kg of cacao tea	250 boxes (25,000 servings)
Suggested retail price (Liz)	\$50 per box

4.2 Cost of Goods Sold (Per Box — 40g)

Raw Material: Cacao Tea from AGL8 (Paulo — La Dio Sitio, Pará)

- Source: AGL8 shipment — Paulo's farm (La Dio Sitio), Pará, Brazil 2024
- Cacao husk is a byproduct of nib/chocolate production — traditionally discarded

- Raw cacao almonds cost: **R\$100/kg (~\$18/kg)** (per Agroverse Processing Cost ledger)
- Cacao husk (as byproduct) estimated at **~R\$20-30/kg (~\$4-5/kg)** — much lower than almonds

Cost Component	Per kg	Per Box (40g)	Note
Cacao husk raw material	\$4.50	\$0.18	R\$25/kg ~ \$4.50/kg (byproduct pricing)
Processing (clean, roast, grind for tea)	\$3.00	\$0.12	Estimated processing cost
Subtotal (ex-factory Brazil)	\$7.50	\$0.30	

Packaging (from Jessie Peng — Shenzhen Source Pack Co Ltd)

Item	Quantity	Cost/Unit	Per Box
Aluminum can 小罐茶 style	10 per box	\$0.15 (est.)	\$1.50
Outer box packaging	1 per box	\$0.30 (est.)	\$0.30
Tea filter bag (for loose tea per can)	10 per box	\$0.05 (est.)	\$0.50
Packaging subtotal			\$2.30

Note: NEED pricing confirmation from Ling on exact packaging costs for aluminum cans + outer box + custom labeling for cacao tea brand.

Freight (Brazil Ilhéus → Shenzhen, China)

Method	Rate/kg	Per Box (40g)	Source
Air freight (consolidated, 100+ kg)	\$4.00-5.00/kg	\$0.18	Brazil→SF preflight checklist: \$3.20-3.50/kg; DHL express ~\$15-20/kg. Consolidation air freight via forwarder is best option.
DHL Express (small parcels)	\$15-20/kg	\$0.70	Only for samples/test batches
Sea freight (container, 1000+ kg)	\$1.00-2.00/kg	\$0.06	Best at scale, longer lead time

Recommendation: Use air freight forwarder (not DHL retail) via Seacos/Omega (existing partners from Brazil→SF). Estimated \$4-5/kg consolidated air. DHL express rates are 3-4x higher — use only for samples.

Total COGS per Box (40g Cacao Tea)

Component	Cost (USD)	% of Revenue
Cacao tea raw material + processing	\$0.30	0.6%
Packaging (aluminum cans + box + bags)	\$2.30	4.6%
Freight (air, consolidated)	\$0.18	0.4%
Customs/duties (China import ~5-15%)	\$0.14	0.3%
Total COGS	\$2.92	5.8%
Gross Margin	\$47.08	94.2%

4.3 Operating Expenses (Monthly)

Category	Monthly (USD)	Annual (USD)	Note
Team — Jerrie (operations)	\$1,000	\$12,000	Per Liz's input
Team — Ling (packaging/ logistics)	\$1,000	\$12,000	Per Liz's input
Liz — Sales & marketing	\$2,000	\$24,000	KOL wining & dining, network building
Marketing content production	\$1,000	\$12,000	Dr. Ye content, Douyin, Xiaohongshu
Events & KOL activations	\$1,500	\$18,000	NEED: Events budget from Liz
Warehousing (Shenzhen)	\$500	\$6,000	Estimated
Legal & compliance (China)	\$500	\$6,000	Food import registration, labeling
Miscellaneous (admin, samples)	\$500	\$6,000	
Total Monthly OPEX	\$8,000	\$96,000	
Initial setup (one-time)		\$10,000	Branding, packaging design, regulatory
Total Year 1 OpEx		\$106,000	Close to Liz's \$100k estimate ✓

4.4 Break-Even Analysis

Metric	Value	Note
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Retail price per box	\$50.00	Per Liz's suggestion
COGS per box	\$2.92	5.8% — typical for premium tea
Gross profit per box	\$47.08	
Annual OpEx	\$106,000	
Boxes to break even (annual)	2,252 boxes	\$106,000 / \$47.08
Cacao tea kg needed for B/E	~9 kg	2,252 boxes × 40g = 90 kg
Monthly break-even	188 boxes	~7.5 kg tea / month

4.5 Monthly Revenue Scenarios

Scenario	Boxes/Month	Revenue	COGS	OpEx	Net Profit
Break-even	188	\$9,400	\$549	\$8,000	\$851
Conservative	500	\$25,000	\$1,460	\$8,000	\$15,540
Moderate	1,000	\$50,000	\$2,920	\$8,000	\$39,080
Growth	2,500	\$125,000	\$7,300	\$10,000	\$107,700
Scale	5,000	\$250,000	\$14,600	\$15,000	\$220,400

Key insight: With 94% gross margins, this is a highly profitable model. Just 9 kg of cacao tea (2,252 boxes) covers the full annual OpEx of \$106,000. Every additional box is ~\$47 pure profit.

Part 5: Funding Requirements

Use of Funds	Amount
Initial inventory (50 kg cacao tea from AGL8)	\$375
Packaging (aluminum cans + boxes — 5,000 units)	\$11,500
Freight (50 kg air consolidated Brazil→China)	\$250
Branding & packaging design (one-time)	\$3,000
China food import compliance	\$3,000
Operating reserve (6 months OpEx)	\$48,000
Marketing launch (KOLs, events, content)	\$10,000
Contingency (15%)	\$11,416

Total Required	~\$87,541
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Close to Liz's **\$100,000 minimum** operating estimate ✓

Part 6: Product Line

Tier	Product	Retail Price	Target
1	Pure cacao shell tea — 小罐茶 style (40g box)	\$50	Entry-level, coffee/tea switchers
2	4 TCM functional blends (40g box)	\$55-60	Health-conscious, TCM seekers
3	Seasonal limited editions	\$65-80	Gift market, repeat buyers
4	Regional editions (因地制宜 — Chaoshan etc.)	\$55-70	Local markets
5	Chocolate bar + recipe kit	\$15-25	UGC campaign

Part 7: Go-to-Market

Phase	Activity	Channel
1: Content & Education	Dr. Ye promotes cacao TCM benefits; weight-loss account	Douyin (main + side)
2: Community & UGC	Share recipes, inspire user content	Social media
3: Product Launch	Pure shell tea → formulas → seasonal	Online + partners
4: Scale	Regional editions + retail + cross-border	Multi-channel

Part 8: Open Items / Needs

Item	Owner	Status
Packaging pricing (aluminum cans, boxes, labels for 小罐茶 style)	Ling	⚠ NEED: Provide quotes
Packaging details (materials, dimensions, artwork requirements)	Ling	⚠ NEED: Specify details
Events budget per year for China product push	Liz	⚠ NEED: Budget estimate
KOL partnership budget and target list	Liz	⚠ NEED: Scope and names
China food import regulations — cacao husk tea classification	Legal	⚠ NEED: Confirm
Dr. Ye's Douyin side account launch timing	Dr. Ye	⚠ PENDING